

ARC TERMINAL

Official FAQ & Architecture Guide • Investor & Technical Reference

1. Liquidity & Trading Infrastructure

Q1: Which liquidity infrastructure do we use for Spot Swaps?

Arc Terminal routes all spot swaps through **Synthra V3** (a Concentrated Liquidity / Uniswap V3-style AMM fork deployed on Arc Network). Swaps interact directly with the SwapRouter contract (0xA545bCB1...), accessing on-chain pools for USDC, USDT, EURC, and cirBTC with fee tiers ranging from 0.05% (500) to 1.0% (10000).

Q2: How are Perpetuals collateralized and traded with 100x leverage?

Perpetual trading operates on a **Vault & Multi-Asset Liquidity Pool (LP)** model (similar to GMX / Synthetix). The platform's **Yield Vaults (USDC & EURC)** act as the counterparty for all leveraged positions, providing deep liquidity, instant execution, and zero price impact for trades up to 100x leverage.

Q3: How are index prices calculated for BTC, ETH, and SOL perpetuals?

Index prices are fetched via real-time decentralized price feeds and Oracle index aggregation. This prevents local orderbook manipulation and ensures positions are settled against true global spot market prices.

2. Yield Vaults & APY Mechanics

Q4: How do the USDC and EURC Vaults generate 4.5% - 5.0% APY?

Yield is **100% Real Yield** derived from organic protocol revenue, not inflationary token emissions. Revenue is pooled from 3 primary sources:

- **Perpetual Trading & Leverage Fees:** Position opening/closing fees, trader borrowing interest (funding rates), and liquidation fees.
- **Concentrated AMM Swap Fees:** A portion of vault capital supplies liquidity to high-volume stablecoin pools (e.g. USDC-EURC), capturing swap fees.
- **Autocompounding ERC-4626 Vault Shares:** Yield is automatically reinvested into the vault's total assets, increasing share value (aUSDC / aEURC).

Q5: What smart contract standard do the Yield Vaults follow?

The vaults implement the industry-standard **ERC-4626 Tokenized Vault Standard**. Depositing USDC yields aUSDC shares, and depositing EURC yields aEURC shares. Shares represent proportional ownership of the vault's growing asset pool.

Q6: Is the 5% APY guaranteed or dynamic?

The APY is dynamic and auto-calculated based on rolling 7-day protocol fee generation and total vault deposits (TVL). During high market activity, APY can exceed 5.0% due to elevated trading and liquidation volume.

3. AI Agent & Natural Language Interface

Q7: How does the AI Agent execute trades via chat prompts?

The Agentic Interface uses a custom Intent Parsing LLM engine. When a user types a command like /swap 10 USDC to EURC, the AI parses the parameters, calculates optimal routing, constructs the exact Web3 ABI payload, and prepares the transaction for one-click wallet signature.

Q8: Is the AI Agent custodial or non-custodial?

Arc Terminal is **100% non-custodial**. The AI agent never holds user private keys or funds. Every transaction generated by the AI requires explicit cryptographic approval from the user's connected wallet (MetaMask, Rabby, Coinbase Wallet, etc.).

4. Technical Resilience & RPC Architecture

Q9: What is the Direct RPC Failover Architecture?

To prevent read timeouts commonly caused by browser extension RPC bridges (like MetaMask), Arc Terminal queries blockchain data directly via an optimized RPC client (`rpc.testnet.arc.network`) equipped with 3x retry logic, 5-second request timeouts, and exponential backoff.

Q10: Which wallets are supported?

Arc Terminal supports all EVM-compatible wallets including **MetaMask, Rabby, Coinbase Wallet, Trust Wallet, and WalletConnect**. Read queries remain wallet-agnostic, while write operations seamlessly bridge to any connected provider.

Q11: Why is Arc Network ideal for this platform?

Arc Network offers native stablecoin settlement, near-zero gas fees, sub-second finality, and dedicated financial primitives — making it the optimal chain for high-frequency agentic trading and yield optimization.